

PRODUCT STRATEGY CASE STUDY

From Data Access to Good Loans

A Renewal-Focused Product Strategy for LendWell

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Executive Summary

The renewal case and the strategic bet

The Problem

LendWell faces two leaks: 45% of applicants drop before consent, and 70% of those who complete consent are rejected by underwriting.

Our Lever

As TSP, our highest-control lever is BSA quality and not the AA app. Better signals and explainability directly improve lender trust.

The Bet

Prioritize thin-file BSA enhancement first. If LendWell can't trust our output, fixing consent only pushes more users into rejection.

Q1 Protect Renewal

Ship thin-file BSA enhancement, explainable reason codes, segment analytics, and consent observability.
Target: thin-file approval $\uparrow$ 30% $\rightarrow$ 33-35%.

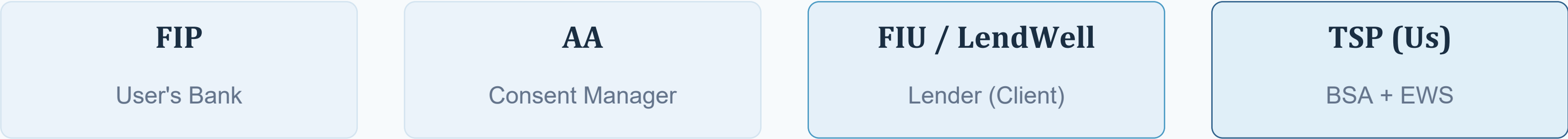
Q2 Scale Funnel

Scale consent recovery, smart retries, bank-wise fixes, and EWS-backed monitoring.
Target: consent approval $\uparrow$ 55% $\rightarrow$ 65-70%.

North Star Metric: More good loans, approved with confidence, under clear consent and risk guardrails.

Context

AA ecosystem: where we sit and what we control



🚩 Nothing moves without user consent - the AA consent artifact is the critical gate.

Our Products

Bank Statement Analyser (BSA)

- Converts raw bank data → structured credit insights
- Surfaces income, expenses, EMIs, balance trends
- Generates affordability and risk signals for underwriting

Early Warning System (EWS)

- Monitors borrower accounts post-disbursal
- Flags early signs of repayment risk or default
- Triggers alerts to lender on stress signals

Funnel Diagnosis

Where value leaks and which leaks are in our control

Indicator

- Leak / drop-off

● Healthy step

AA Consent Screen	100,000	Entry point - All applicants
Consent Approved	55,000	55% -45,000 drop at consent
Data Fetch Success	46,750	85% -8,250 FIP/AA failures
BSA Insight Generated	46,750	100% Full coverage post-fetch
Loan Approved	14,025	30% -32,725 rejected after BSA
Loan Disbursed	12,622	90% -1,403 drop post-approval

Problem Framing

Separating symptoms from root problems

Complaint 1

"We lose applicants before we see their data."

Real Problem

Insufficient visibility into why users drop: user confusion, bank failure, AA handoff, or FIP downtime. Some is in our control, much is not.

Instrument first. Don't redesign without data.

Complaint 2

"We still reject most people even with data."

Real Problem

Either BSA lacks signal for thin-file users, LendWell's policy is too conservative, or thin-file users genuinely carry higher risk.

Test where decision confidence breaks before assuming product fault.

Prioritisation logic: BSA approval confidence first, it's more controllable and renewal-critical. Consent is instrumented in parallel.

Opportunity Sizing

Revenue impact of each lever at current funnel rates

₹72.7 Cr

Current annual
LendWell revenue

₹12.1 Cr

BSA lift: 30%→35%
approval

₹26.5 Cr

Consent lift: 55%→75%

₹59.5 Cr

Revenue lost to
consent drop-off

Basis: avg loan ₹80K · LendWell net take 6% = ₹4,800 per disbursed loan.

Consent opportunity assumes downstream rates hold constant, treat as ceiling, not forecast.

Why BSA first despite smaller upside?

- Direct TSP control - no dependency on AA app or FIP uptime
- Consent improvement is worthless if BSA still rejects the same users
- Renewal risk is tied to trust, not just funnel volume
- Can be piloted with historical data - no UX redesign required

Consent sizing caveat

- Dropped users may have lower intent or weaker profiles
- Approval rate post-consent may not hold at 30%
- Some drop-offs are FIP failures, not user choice
- Build evidence in Q1 before scaling in Q2

Control Map

Ownership zones: what we own, what we influence, what we don't

Full TSP Control

- BSA signal design & explainability
- Thin-file reason codes
- Lender analytics dashboard
- EWS design & risk alerting
- Retry logic after failed fetches
- Data quality checks
- Product analytics / observability

Partial Control

- AA handoff tracking
- Consent education before redirect
- Bank-wise drop-off visibility
- FIP failure reporting
- User-facing error messaging
- Retry nudges

Outside TSP Control

- AA app UX
- FIP uptime
- Bank authentication flow
- Regulatory consent rules
- LendWell's credit policy
- Borrower intent / risk appetite

Root-Cause Plan

Two parallel investigation tracks before committing to solutions

Track 1 - Why are thin-file users rejected?

Key question: Does BSA lack signal, or is LendWell's policy too conservative?

- 1 Segment approved data: salaried, gig, NTC, thin-file, high-EMI
- 2 Map BSA signals generated vs LendWell reject reasons
- 3 Identify: stable cash-flow users rejected despite strong signals
- 4 Interview credit team: which BSA insights do they trust?
- 5 Hypothesis: BSA needs confidence bands, not just raw output

Hypothesis: BSA surfaces raw insights but lacks lender-friendly confidence framing

Track 2 - Why do users drop at consent?

Key question: User confusion, bank failure, AA friction, or FIP downtime?

- 1 Instrument 16 consent funnel events from screen → fetch success
- 2 Cut by AA provider, bank/FIP, device, OS, loan size band
- 3 Analyse error logs: timeout, OTP fail, account discovery, expiry
- 4 User research: 8 questions on trust, comprehension, handoff
- 5 Hypothesis: drop-off concentrated in specific banks + FIP downtime

Hypothesis: Drop-off is bank-concentrated - a generic UX fix won't move the needle

Solution Prioritisation

Ranked by ICE - Impact $\times$ Control $\times$ Speed | Not just impact alone

Initiative	Impact	TSP Control	Speed	Theme	Priority
Thin-file BSA Enhancement Pack	High	High	Med	BSA	P0
BSA Explainability + Reason Codes	High	High	Fast	BSA	P0
Segment-Level Approval Analytics	High	High	Fast	BSA	P0
Consent / Fetch Instrumentation	High	Med	Fast	Consent	P0
EWS Guardrails for Thin-File Users	Med-High	High	Med	Risk	P1
Bank-Wise Failure Dashboard	Med-High	Med	Fast	Consent	P1
Smart Retry Logic	Med	Med	Med	Consent	P1
Consent Education Screen	Med	Med	Fast	Consent	P1
Advanced Thin-File Risk Model	High	High	Slow	BSA	P2
Full AA Journey Redesign	High	Low-Med	Slow	Consent	P2

- P0 = ship in Q1
- P1 = Q1 parallel or Q2 start
- P2 = Q2 + pending Q1 evidence

2-Quarter Roadmap

From renewal protection to full-funnel conversion

Q1 Renewal Protection

1

Thin-File BSA Enhancement Pack

Cash-flow stability • income classification • affordability band • bounce severity • reason codes

Approval ↑ 30→35%

2 BSA Explainability Dashboard Reason code adoption

Segment approval view • signal coverage • rejection reason analysis • good-risk rejected users

- 3 **Consent & Fetch Instrumentation** 95%+ events tracked
 - 16 funnel events • bank/FIP failure taxonomy • AA provider drop-off view • retry tracking

4 **EWS Pilot — Thin-File Borrowers** Alert precision >70%

Post-disbursal income / balance / bounce monitoring for newly approved thin-file cohort

Q2 Scale Funnel + Risk

- 1 **Smart Retry & Recovery Engine** **Fetch success 85→90%**
 - Type-based retry rules • bank downtime scheduling • lender alerts for recurring failures

- 2 **Consent Education + Handoff** Consent 55→65–70%
 - Pre-handoff explanation • data-usage clarity • revocation info
 - progress indicators

- 3 **Advanced Affordability Risk Model** Approval quality ↑
Segment-specific banding • repayment feedback loop • false-decline reduction

4 EWS → Underwriting Feedback Loop Delinquency stable

Map EWS signals back to BSA features • calibrate risk bands from real outcomes

Final Recommendation

01 Improve BSA confidence for thin-file users

Cash-flow scoring, income classification, affordability banding, bounce logic

02 Add explainability and reason codes

Give LendWell's credit team decision-ready language, not raw transaction output

03 Instrument consent and fetch drop-offs

Quantify where users are lost and separate user confusion from bank / FIP failures

04 Add EWS guardrails for new approvals

Post-disbursal monitoring for thin-file cohort - prove growth and risk management

05 Scale consent recovery in Q2

Smart retries, bank-wise fixes, consent education - once causes are known

06 Use repayment feedback to continuously improve

Map EWS outcomes back to BSA features - build a learning underwriting system

The outcome to optimise for is not higher consent or higher approval in isolation - it is more good loans, approved with confidence, under clear consent and risk guardrails.